

Tempus AI, Inc.
TEM NASDAQ

Neutral\$46.18 ▼ 0.67%

52-Week Range\$41.73 – \$104.32

Market Cap\$8.29B

No Material Overnight Updates

WHAT'S CHANGED

- TEM launched ArteraAI Prostate Test (5/24) — first externally developed digital pathology algorithm on its platform, validating the third-party AI marketplace strategy and expanding addressable urology/oncology TAM.
- Bristol Myers strategic partnership announced 5/23 deepens AI-enabled drug development collaboration; shares rallied ~5.9% over five sessions (\$43.62→\$46.18) on declining volume, suggesting constructive but unconvinced positioning.

IMPLICATIONS

The BMS deal extends TEM's pharma data licensing revenue stream — a higher-margin, recurring complement to the lower-margin Genomics segment — and follows a pattern of large biopharma anchor relationships (AZ, GSK, Merck). ArteraAI's launch is strategically significant: it positions Tempus as an AI distribution layer for third-party developers, mirroring an app-store dynamic that could re-rate the multiple if adoption scales. Near-term catalysts: Q2 print (early August), data reads from Imviva-adjacent partnerships, and incremental algorithm launches.

VALUATION

PT of \$62 implies ~7.3x EV/Sales on FY2027E revenue of ~\$1.55B, a premium to diagnostics peers (4–5x) justified by 25%+ growth, AI optionality, and expanding pharma Data segment. At \$46.18, shares trade ~5.4x FY27E sales — undemanding given the ~30% PT upside and stock sitting at just 7% of 52-week range. Multiple expansion driver: sustained Data segment growth >40% and gross margin inflection toward 65%+.

KEY RISKS

- Persistent GAAP losses and cash burn raise dilution risk if capital markets tighten; profitability path remains 2027+
- Reimbursement pressure on Genomics testing (Medicare LCDs, PAMA) could compress unit economics
- Customer concentration in pharma Data segment — loss or delay of a major partner (BMS, AZ, GSK) would materially impact growth trajectory

RECENT NEWS

Tempus AI (TEM) Launches ArteraAI Prostate Test, The First Externally Developed Digital Pa... Insider Monkey · 2026-05-24 13:06

Tempus AI, Inc. (TEM) and Bristol Myers Announce a Strategic Partnership Insider Monkey · 2026-05-23 04:49

Key Data	
Price (USD)	\$46.18
12M Price Target	—
Upside / (Downside)	—
Market Cap	\$8.29B
FY2026E Revenue	—
FY2027E Revenue	—
FY2026E EPS	N/M
FY2027E EPS	N/M
Fwd P/E	N/M

